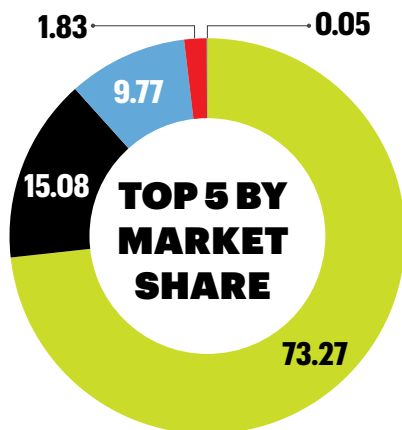
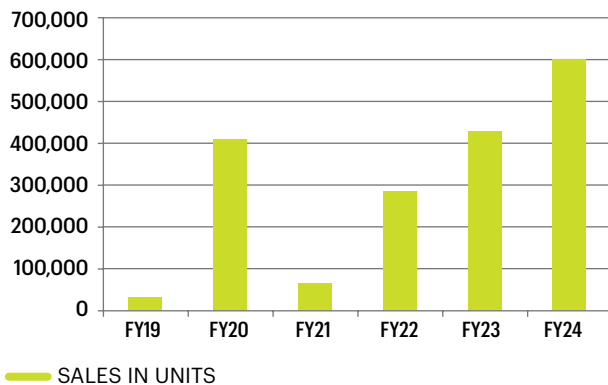


RISING SALES

In FY21, the demand for CNG models dipped due to an overall decline in car sales In FY24, Maruti led the pack, accounting for 73% of CNG cars sold



MARUTI SUZUKI TATA MOTORS HYUNDAI
 TOYOTA MOTORS HONDA

FIGURES IN % SOURCE VAHAN



P. B. BALAJI
 GROUP CFO,
 TATA MOTORS

“We’re quite happy with the CNG portfolio’s performance; it was also good from a profitability perspective”

requires all domestic manufacturers to cut carbon monoxide emissions and nitrogen oxides. Additionally, it introduced specific limits for hydrocarbon and particulate emissions, which were not defined in previous standards. The government is likely to roll out BS VII next year.

The transitions from BS III to IV and then to BS VI have led to the phasing out of several petrol and diesel vehicles. In 2022, the government allowed retrofitting of CNG kits as per BS VI norms, giving CNG a further boost.

BOOSTING HORSEPOWER

CNG adoption might have seen a big rise in the recent past, but it is likely to hit a roadblock owing to supply constraints. The Deloitte report quoted earlier points out that the current number of CNG filling stations is insufficient to meet the demand, which is nearly three times higher than the available infrastructure. Moreover, as only a few states like Uttar Pradesh, Maharashtra, Gujarat, Haryana, and Madhya Pradesh, and Delhi NCR account for 80% of CNG stations, supply is highly skewed towards certain geographies.

“This fuel is not going to be available in abundance like petrol or diesel. Unlike petrol or diesel, the government is producing it on its own and putting [up] the distribution networks, so there’s going to be a limit for that,” notes Rajeev Singh, Director, Deloitte.

Another problem carmakers have to solve is intrinsic to CNG: it is a fuel of low pick-up and it provides less torque and horsepower. That’s perhaps why CNG models are popular in the small car segment or SUVs priced between ₹8 lakh and ₹10 lakh. Those looking to buy premium vehicles priced above ₹15 lakh are very unlikely to look at CNG for those same reasons.

Singh of Deloitte expects the share of factory-fitted CNG cars to stabilise at 20-22% by FY30.

There is, of course, one big looming threat on the horizon for CNG and other fuels: EVs. Gupta of ICRA highlights that CNG adoption will be influenced by the rate of EV adoption and inflation. A faster adoption of EVs could potentially limit the growth of CNG vehicles.

For now, the CNG party is well and truly underway. **BT**

@OrielaAtha11